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IN THE COURT OF APPEALS OF THE STATE OF OREGON

JAN VINSONHALER and HEATHER VINSONHALER Plaintiffs – Appellants, v. QUANTUM RESIDENTIAL Defendant – Respondent and EDWARD RAMEY Defendant.	**CA A116054** Trial Court No. 00-08-07735

Plaintiffs' Appeal from the Circuit Court for the State of Oregon

(Multnomah County) Pro Tem Judge Thomas Christ, Presiding

REPLY BRIEF FOR PLAINTIFFS-APPELLANTS

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REPLY BRIEF OF PLAINTIFFS-APPELLANTS
JAN AND HEATHER VINSONHALER

SUMMARY OF REPLY ARGUMENT

Respondent Quantum Residential's Brief in this case contains a series of questionable assertions. Furthermore, Respondent's Brief is composed primary of flawed reasoning and inconsistent legal arguments (Respondent's Brief conveniently and consistently side-steps disputed factual issues to dogmatically declare, in every instance, that the Pro Tem judge made the right decisions based on allegedly undisputed facts. Also, Respondent repeatedly contradicts its own factual and legal assertions. As a result, Respondent Quantum Residential has not effectively rebutted the fundamental contentions of Appellants in this appeal:

1. The circuit court gravely erred in granting Quantum Residential summary judgment against Plaintiffs-Appellants on virtually all of their claims;
2. In granting Quantum Residential summary judgment, the circuit court repeatedly and erroneously invaded the fact finding province of the jury;
3. The circuit court erroneously interpreted federal and state law prohibiting sexual harassment in the workplace;

4. The circuit court issued a series of erroneous evidentiary and procedural rulings, that were uniquely one-sided, also the circuit court completely ignored Plaintiffs-Appellants' Cross-Motion for Summary Judgment in this case until the Pro Tem Judge simply signed a ORCP 67B judgment order containing verbiage that Plaintiffs-Appellants' Cross-Motion for Partial Summary Judgment is denied.

STANDARD OF REVIEW

The issues presented in the instant appeal are subject to the De Novo standard of review. See Louisiana Pacific v. Lumber and Sawmill Workers, 296 Or 537, 545, 679 P.2d 289 (1984); In re: Farrell, 58 Or. App. 258, 262 (1982) (Where the review is "***de novo***" there is no "preservation" factor and this Court applies its own fact finding and legal analysis regarding the issues raised); Cavilee & Cavilee, 21 Or. App. 506, 508, 535 P.2d 774 (1975); Hannon v. Good Samaritan Hospital, 4 Or. App. 178, 187, 471 P.2d 831 (1970) (The ***de novo*** review standard requires that this Court provide Plaintiffs-Appellants a "trial anew" of the issues presented "in the fullest sense with the trial court being given no weight except on disputed questions of fact where the credibility of witnesses is at issue."); Marvin Wood Products v. Callow, 171 Or. App. 175, 14 P.3d 686 (2000) ("If review is ***de novo*** the reviewing court has license to re-weigh the facts and reassess the persuasive force of the evidence . . .") Id.

Finally, when reviewing the record, this Court must view the entire record in the light most favorable to Plaintiffs-Appellants Jan & Heather Vinsonhaler. Double Eagle Golf, Inc. v. City of Portland, 322 Or 604, 606, 910 P.2d 1104 (1996).

LEGAL ARGUMENT

In Respondent Quantum Residential Corporations' brief in this matter (hereinafter "Respondent's Brief") Respondent essentially maintains that the circuit court Pro Tem judge's summary judgment and evidentiary rulings were proper in this matter because:

a. Plaintiffs-Appellants failed to produce "any evidence" from which a jury could infer that defaulted defendant Edward Ramey was "at least partially motivated by a purpose to serve Quantum Residential and was "acting within the scope of his employment when he sexually harassed Plaintiffs-Appellants. As a result, Jan & Heather Vinsonhaler's assault, battery, and intentional infliction of emotional distress claims had to fail "as a matter of law." (See Respondent's Brief at 2, 9-13);

b. The trial court was correct in granting Respondent summary judgment on Jan & Heather Vinsonhaler's federal and state sexual harassment claims because Respondent proved that there were no material issues of fact regarding its federally mandated "affirmative defense" and there was

legally and factually no evidence that Respondent knew or should have known that defaulted defendant Ramey was a harasser before Jan & Heather Vinsonhaler reported it. (See Respondent's Brief at 13-27);

c. There is no evidence of trial court bias by the Pro Tem judge in this case. Furthermore, even if there is such evidence, (via the numerous erroneous and one-sided rulings of the trial court) Plaintiffs-Appellants have not properly assigned the issue and rulings as error.

PLAINTIFFS-APPELLANTS' REBUTTAL ARGUMENTS

As set forth in summary above, Respondent's factual assertions, legal analysis, and conclusions in this case are fatally flawed. Furthermore, at times, Respondent's arguments contradict themselves and are baffling at best.

a. Every case before the Court is traditionally resolved based on its unique facts (and not some set of cookie-cutter facts or quotes extracted from specific case law). See Heidi/Parker v. T.C.I., Inc., 264 Or 535, 540, 506 P.2d 486 (1973). In this case, Plaintiffs-Appellants Jan & Heather Vinsonhaler clearly provided evidence that (1) Respondent Quantum Residential required them to work in a limited and isolated area in an apartment that doubled as both an office and defendant Ramey's living space; (2) Defaulted defendant Ramey routinely sexually harassed both women physically and verbally (as set forth in their Complaint); (3) The sexual harassment

occurred almost exclusively at work; (4) The sexual harassment occurred almost exclusively during work hours; and (5) The harassment occurred while the women were working with and under the supervision of defaulted defendant Ramey.

Since Respondent conceded that Jan & Heather Vinsonhaler were sexually harassed by Ramey as alleged (See Respondent's Supplemental Excerpt of Record ["SER"] at 37 (lines 20-23)); and since the women were harassed at work, during work hours, while working exclusively with Ramey, a jury could readily infer that at some point (during a 6, 7, or 8 hour work day) defaulted defendant Ramey *actually did some work for Quantum Residential.* Furthermore, given the limited and isolated apartment workplace that Quantum provided the parties, Ramey's ability to stand over an individual plaintiff, sit next to her, stand behind her, or otherwise routinely invade their "personal space" was a "*necessary precursor*" to the sexual harassment alleged. Additionally, a jury could readily infer that the sexual harassment of each plaintiff was an "*outgrowth*" of the complete and unfettered access to the women given by Respondent to Ramey.

Based on the facts of this case, and the extensive discussion of when vicarious liability attaches in Harris v. Pameco Corp., 170 Or App 164, 172-173, 12 P.3d 524 (2000), the trial court gravely erred by invading the fact finding province of the jury and granting summary judgment against Jan & Heather Vinsonhaler on their assault,

battery, and intentional infliction of emotional distress claims.

b. As set forth above and in the Opening Brief, the circuit court seriously erred in granting summary judgment against Plaintiffs-Appellants on their federal and state sexual harassment claims. Furthermore, to grant Respondent summary judgment, the Pro Tem judge repeatedly invaded the province of the jury by unilaterally deciding disputed material facts in favor of Respondent. At a minimum there were disputed material factual issues regarding each element of Respondent's Burlington Industries, Inc. v. Ellerth, 524 U.S. 742, 118 S. Ct. 2257 (1998)/Faragher v. City of Boca Raton, 524 U.S. 775, 118 S. Ct. 2275 (1998) affirmative defense.

Regarding the "prevention" prong of Respondent's affirmative defense, Plaintiffs-Appellants asserted that they did not receive any training, discussion, or notice of any anti-sexual harassment policy and/or procedures from Respondent during their employment. Jan & Heather Vinsonhaler stated that defendant Ramey was their sole point of contact when they were hired. Also, the women contended that when they were hired, defaulted defendant Ramey quickly had them sign a series of papers (including a receipt for handbook that they never actually received) by telling them that the needed to sign the papers to secure the job when the papers were presented.

As an initial matter, Respondent pretends that the assertions of Plaintiffs-Appellants have no significance at all because Quantum officers testified that (1) it

was the business practice of Quantum Residential to issue employee handbooks and secure receipts for the handbooks and (2) it was the business practice of Quantum Residential to post sexual harassment and other employment notices at its various work sites. Interestingly, and without any reasonable explanation, Quantum concludes that the assertions of the Quantum officers (regarding Quantum's alleged business practices) voided the first hand factual assertions of Jan & Heather Vinsonhaler and provided ample evidence for the Pro Tem judge to conclude that Respondent clearly proved the first prong of its affirmative defense. (See Respondent's Brief at 16-17).

Here, Respondent's arguments and reasoning are flawed for several reasons. First, no officer of Quantum Residential swore or affirmed that they personally witnessed postings at Plaintiffs-Appellants' work site before they complained of harassment. Second, no officer of Quantum Residential swore or affirmed that they personally witnessed either or both plaintiffs being issued an employee handbook. Third, Respondent does not dispute that defaulted defendant Ramey was Respondent's sole site manager and contact for plaintiffs during both their hiring and day to day work lives. Curiously, Respondent argued to the trial court, and this Court essentially that: Respondent had company rules, and although they don't have any direct knowledge as to whether or not those rules were followed by its site manager and supervisor (Edward Ramey) in this case, Quantum Residential has no

reason whatsoever to reasonably believe that defaulted defendant Ramey did not follow Respondent's rules.

Interestingly, after setting the stage for the above-referenced position, Respondent swears that it fired defaulted defendant Ramey for not following its rules. See SER 37 (lines 20-23). Reasonably, if Ramey violated one of Respondent's major rules, then it is logical that he may have violated others like failing to post notices, issue an employee handbook, or follow other reasonable and efficient office procedures. In any event, the above present questions to be resolved by a jury.

The "correction" prong of Respondent's affirmative defense is also problematic for a number of reasons. First, notwithstanding Respondent's arguments that Ms. Angela previous report to Quantum of sexual harassment (by Ramey against Heather Vinsonhaler) is hearsay, the undisputed fact of the matter is that Angela actually made a sexual harassment complaint to Quantum against Ramey long before Jan & Heather Vinsonhaler complained. Furthermore, Respondent amazingly follows its depiction of Ms. notice to Quantum Residential as hearsay with a clear example of why her statements to Quantum could not possibly be hearsay on the issue of notice. See Respondent's Brief at 35-36 (For example, if the BOLI investigator's recitation of what Ms. told Quantum Residential was being offered by Jan & Heather Vinsonhaler to prove that what Ms.

said was true (i.e. that a plaintiff was being harassed by Ramey in a certain way), then this would clearly be hearsay, requiring a recognized exception for admission. However, because the statement was not offered to prove the truth of the matter asserted (that Ramey actually sexually harassed a plaintiff as alleged) but only to prove that Respondent received a prior "compliant" by someone other than plaintiffs, it was NOT HEARSAY. Thus Respondent (not withstanding its seemingly perjurious testimony to the contrary: See SER 37; lines 14-15) actually received prior notice of problems with Ramey.

Second, Respondents "correction" prong argument that it immediately fired Ramey and did "everything legally possible" to remove him from the premises is unavailing and untrue. This Court can take judicial notice that injunctive relief is a legal possibility or option where someone like Ramey has refused to leave premises and has threatened (arguably imminent) physical harm to employees and/or occupants of the premises. Notwithstanding, Respondents repeated theme that it did "everything legally possible" to remove Ramey from the premises (See Respondent Brief at 17-19), Respondent never sought any type of injunctive relief to preclude the threat of irreparable harm from Ramey's threatened actions.

Third, the law of the Ninth Circuit Court of Appeals (i.e. this federal circuit) is that *"the mere presence of an employee [former employee] who has engaged in*

particularly severe or pervasive harassment can create a hostile work environment." Ellison v. Brady, 924 F.2d 872, 883 (9th Cir. 1991) (emphasis added). Accordingly, the testimony of Plaintiffs-Appellants that they were told to return to the apartment office, and that an employee dispatch by Quantum Residential gave Ramey ready access to the apartment office and plaintiff Jan Vinsonhaler seemingly destroys Respondent's "correction" arguments under any reasonable analysis. Even Respondent's alleged non-employee "ratification" analysis. (See Respondent's Brief at 19-20). At a minimum, the "correction" prong of the Burlington/Faragher affirmative defense presents a jury question.

Regarding the issue of whether or not plaintiffs unreasonably failed to complain about the harassment against them sooner, Respondent's arguments fail miserably. First, Respondent relies on the incredible reasoning of the Pro Tem judge that if the plaintiffs signed a receipt for a handbook that they in fact did not receive then they acted unreasonably under a Burlington or Faragher analysis. As stated in the Opening Brief, this is simply NOT THE LAW. The unreasonable failure to report prong is predicated on actual knowledge of a company's anti-harassment policies and procedures and a knowing reluctance or failure to take advantage of express remedial measures. See Burlington.

In this case, Plaintiffs-Appellants specifically and repeatedly denied any knowledge of any policies and procedures of Respondent prohibiting harassment. In fact, the women testified at their deposition that they had to "look up Quantum Residential's office in the phone book to obtain a way to make their faxed complaints" after Ramey threatened to kill Heather Vinsonhaler. In any event, while Plaintiffs-Appellants may have acted unreasonably in blindly signing a receipt for an item that they never received, the unreasonable signing of a handbook receipt is not a recognized affirmative defense to a sexual harassment action. Furthermore, the 9th Circuit Court of Appeals has never held that an employer's direct threat to retaliate against a victim (if she reports misconduct) "does not excuse" a victim's failure to report (or the victim's late report). Accordingly, the cases cited by Respondent from other federal circuits are unavailing and not on point. The unreasonable failure to report issue presents jury questions.

c. The Pro Tem judge's erroneous and bizarre rulings, coupled with the "deaf ear" that the Pro Tem judge turned to virtually all of Plaintiffs-Appellants' arguments (including plaintiffs' detailed Cross-Motion for Partial Summary Judgment) appear to support a prima facie case of judicial bias. Furthermore, the detailed description of the trial court errors (under the "bias" label) appropriately assigned error to the offensive rulings (such as the evidentiary rulings) for this Court's

review.

Addressing the issue of assignments of error, this Court has stated that all that is necessary to challenge a summary judgment ruling was a "presentation in general." See Robinson v. Groh, 138 Or. App. 506, 909 P.2d 1240 (1996); See also, Finney v. Bransom, 326 Or 472, 481 (n.8), 953 P.2d 377 (1998)(maintaining that assignments of error or arguments to the court must merely be presented in a recognizable form). Id.

CONCLUSION

For all of the above reasons, Jan & Heather Vinsonhaler respectfully requests that this Court reverse the judgment of the Circuit Court (via Pro Tem Judge Thomas Christ).

RESPECTFULLY SUBMITTED

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DATED: October 25, 2002

CERTIFICATE OF SERVICE

I hereby certify that I served a true and correct copy of the foregoing Reply Brief on counsel for defendant Quantum Residential by regular mail with postage paid on October 25, 2002 at the following address:

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